



Diamond Trust Bank HY'24 Earnings Note





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August 28th, 2024

Ticker Information

NSE Code:	DTK
Issued Shares (Bn):	1.65
52-week high:	KES 55.75
52-week low:	KES 43.25

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	-1.9%	-1.1%	-3.1%	-5.1%

Source: NSE, AIB-AXYS Research

Analysts

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Recommendation

HOLD

Current Price

KES 45.55

Target Price

KES 52.31

Summary

- Diamond Trust Bank met in house expectation to record a modest 11.5% y/y growth in net earnings to KES 4.86Bn over the first half of 2024.** Revenue grew 10.3% y/y to KES 20.58Bn underpinned by robust performance in net interest income and non-funded income streams. Net interest margin improved slightly by 30bps y/y to 5.3%. The trailing return on equity increased by 110bps y/y to 11.3% while the trailing return on assets increased marginally by 10bps y/y to 1.4%.

Key Highlights

- Strong Core Banking Performance:** Net Interest Income surged by 8.3% y/y to KES 14.19Bn on account of a robust 21.4% y/y increase in interest from loans and a 10.7% y/y increase in interest from government securities. Non-funded income outpaced this growth, expanding by 15.1% y/y to KES 6.39Bn. The funding mix shifted to 69:31 in favor of non-funded income. Operating income consequently increased by 10.3% y/y to KES 20.58Bn. The average yield on interest earnings assets paced up by 160bps y/y to 11.4% reflecting higher reinvestment returns. However, this gain was partially offset by a 130bps y/y increase in cost of funds to 6.1% attributable to the prevailing high interest rate environment. Consequently, Net interest margin widened marginally by 30bps y/y to 5.3%.
- Asset Quality Under Pressure:** Gross Non-Performing Loans (NPLs) increased 5.6% y/y to KES 38.59Bn – driving the 130bps y/y increase in the NPL ratio to 13.6%. The NPL coverage deteriorated 200bps to 44.4% In response to the mounting credit risks, the management team prudently amplified credit impairment provisions by 11.1% y/y to KES 3.62Bn, adopting a cautious stance amid uncertain macroeconomic environment.

Balance Sheet Dynamics

Customer deposits grew moderately by 3.3% y/y to KES 431.91Bn. In contrast, the loan book contracted 4.7% y/y to KES 267.86Bn, resulting in a 520bps y/y decline in the loan deposit ratio to 62.0%. Notably, management strategically reduced its allocation to government securities by 11.1% y/y to KES 118.10Bn in a move to capitalize of favorable margins in customer assets while maintaining adequate liquidity.

Eroding Operating Efficiency

Operating efficiency eroded as reflected by the cost-to-income (excluding loan-loss provisions) increasing by 100bps y/y to 51.6%. The deterioration was primarily driven by the pre-provision operating expenses growing at 12.4% y/y, outpacing the 10.3% y/y increase in operating income. The increase in expenses stemmed from the lender's strategic investments in upgrading core digital infrastructure and the rising staff costs linked to branch expansion efforts. Additionally, the cost of assets ratio (excluding loan-loss provisions) increased 20bps y/y to 1.8%, highlighting the impact of higher non-credit related costs on the bank's operational efficiency.

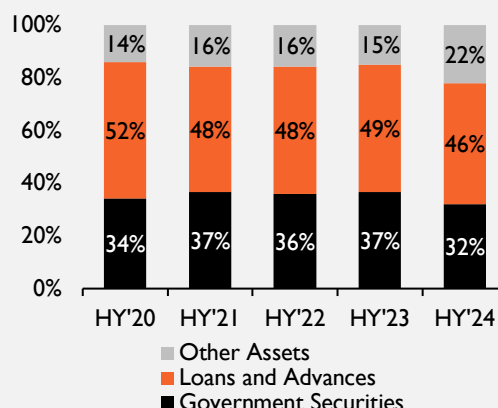
Outlook

We remain optimistic about the lender's growth prospects, supported by strong performance from its subsidiaries, ongoing digital transformation efforts, and strategic branch network expansion. The adoption of risk-based loan pricing is expected to enhance interest income and promote organic growth in the loan portfolio. While we anticipate a temporary rise in operating expenses due to the opening of new branches, we believe these investments will contribute to sustained revenue growth over the long term.

Recommendation

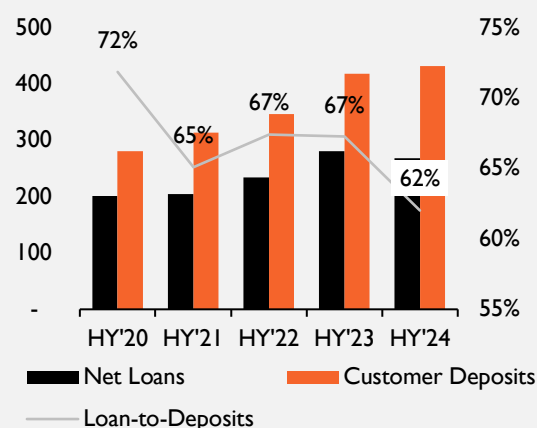
- **We maintain our *HOLD* recommendation on Diamond Trust Bank on account of lackluster growth on its return on equity.** At the current market price, the stock is trading at P/E ratio of 1.5x and a P/B ratio of 0.2x. Our one-year target price for Diamond Trust Bank currently stands at KES 52.31 - representing a c.14.8% upside potential from current levels.

Chart 2: Asset Composition



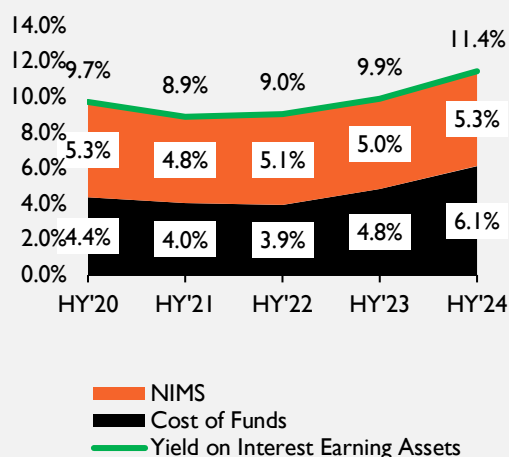
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Widening Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Net Interest Income	9.29	9.82	11.13	13.11	14.19	▲ 8.3%
Net non-Interest Income	3.15	3.32	3.92	5.55	6.39	▲ 15.1%
Total Operating income	12.45	13.15	15.05	18.66	20.58	▲ 10.3%
Provision for Impairment	(1.87)	(2.31)	(2.43)	(3.26)	(3.62)	▲ 11.1%
Total Operating expenses	(7.97)	(8.27)	(9.37)	(12.70)	(14.23)	▲ 12.1%
Profit before tax	4.48	4.88	5.62	6.02	6.27	▲ 4.3%
Profit after tax	2.62	3.15	3.96	4.36	4.86	▲ 11.5%
Core EPS Annualized	17.18	20.96	25.64	28.63	31.07	▲ 8.5%

Balance Sheet (KES Bn)	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Government Securities	132.53	157.59	174.68	211.58	188.10	▼ (11.1%)
Loans and Advances	201.46	204.33	233.62	281.17	267.86	▼ (4.7%)
Total Assets	388.25	429.58	485.04	579.22	585.36	▲ 1.1%
Customer Deposits	280.37	313.80	346.49	417.99	431.91	▲ 3.3%
Total Liabilities	321.13	357.45	408.43	496.59	501.10	▲ 0.9%
Shareholder's Funds	61.03	65.36	68.89	72.44	74.64	▲ 3.0%

Ratio Analysis	HY'20	HY'21	HY'22	HY'23	HY'24	% y/y change
Spreads Analysis						
Yield on Assets	9.7%	8.9%	9.0%	9.9%	11.4%	▲ 1.6%
Cost of Funds	4.4%	4.0%	3.9%	4.8%	6.1%	▲ 1.3%
Net Interest Margin	5.3%	4.8%	5.1%	5.0%	5.3%	▲ 0.3%
ROaE	9.8%	6.4%	7.8%	10.2%	11.3%	▲ 1.1%
ROaA	1.5%	1.0%	1.1%	1.4%	1.4%	▲ 0.1%
Profit Margin	21.1%	24.0%	26.3%	23.4%	23.6%	▲ 0.2%

Operating Efficiency						
Cost to Income Less LLP	49.1%	45.3%	46.1%	50.6%	51.6%	▲ 1.0%
Cost to Assets Less LLP	1.6%	1.4%	1.4%	1.6%	1.8%	▲ 0.2%
Loan to Deposit	71.9%	65.1%	67.4%	67.3%	62.0%	▼ (5.2%)

Asset Quality						
Gross NPL Ratio	8.4%	10.4%	12.9%	12.3%	13.6%	▲ 1.3%
NPL Coverage	51.2%	41.8%	44.2%	46.4%	44.4%	▼ (2.0%)
Cost of Risk	0.9%	1.1%	1.0%	1.2%	1.4%	▲ 0.2%

Capital Adequacy						
Core Capital/TRWA	19.3%	21.3%	20.0%	18.5%	17.6%	▼ (0.9%)
Total Capital /TRWA	21.0%	22.8%	21.2%	19.3%	19.1%	▼ (0.2%)
Liquidity	54.8%	60.3%	58.9%	52.2%	52.6%	▲ 0.4%



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